

sell it and make a little bit of money, and slowly work my way up the property ladder. That was the initial idea.

The concept of compromise, for this young man who lives in Australia's best apartment, is relative to your circumstances. And that is worth remembering for those on the long slog to finding a first home. But apartment living can be beautiful; for one, it affords views of the million-dollar variety. Swartz says:

I really don't think you miss out on anything other than your own personal backyard or a swimming pool. Most of the rest of the world lives in apartments and nobody sees that as a compromise. Here, people say, 'I am living in an apartment until I can afford a house.' For me, the dream is not having to drive to work at the moment, and being able to walk [there].

4. A DIY job

Must have: Money to fund the renovation project in a reasonable timeframe (see a trick, below, for funding this with part of your deposit).

Why? You can add value to your property, regardless of whether it's a house out of town or an apartment closer to the action, and use that to move up the property ladder. If you have saved a 20 per cent deposit, one strategy is to get a loan on a ten per cent deposit, cop paying the lenders' mortgage insurance and spend the other ten per cent on a reno. Will Unkles says that if you have the skills and capacity, it's an excellent way to add considerable value to your asset and move up the ladder. He lays out this example scenario:

If lenders' mortgage insurance is going to cost, say, \$8000, but you could put \$50,000 towards new kitchen appliances, redoing the verandah, painting the walls, taking up the carpet and putting in floorboards, that is going to add at least the \$50,000 you have spent plus another \$40,000 – that pays for the mortgage insurance pretty quickly.